

Micron Technology, Inc.

MU NASDAQ

Buy

\$976.02 ▲ 5.34%

12M Price Target
\$1150.00

52-Week Range
\$154.65 – \$1255.00

Market Cap
\$1.10T

MU: Memory Prices Explode 500%, Intel CEO Confirms Supercycle

WHAT HAPPENED

- MU ripped +5.3% on a bombshell from Intel's CEO — memory prices are up over 500%. That's not a typo. When the head of a rival chipmaker publicly flags that kind of pricing, it confirms what MU bulls have been saying: we're in a full-blown memory supercycle driven by AI, and Micron is the biggest US-listed pure play.
- Second catalyst: "Ohio Memory Talks Reignite" — this is code for potential government-backed expansion of domestic memory manufacturing (likely involving Intel/SK Hynix partnership rumors). Even if MU isn't the direct beneficiary, it re-rates the entire US memory sector as strategically critical.

WHY IT MATTERS

Here's what the 500% price spike really means: high-bandwidth memory (HBM — the specialized chips that sit next to Nvidia GPUs) is now the actual bottleneck for AI infrastructure, not GPUs themselves. That flips the power dynamic — Micron becomes a price-maker, not a price-taker, and that's why gross margins (profit per dollar of sales) are about to explode. The fact that MU only jumped 5% on this news suggests the market is still underestimating how much of this pricing flows to the bottom line — analysts will be scrambling to raise FY27 earnings estimates this week. Watch for sell-side price target hikes over the next 5 trading days; that's usually the second leg up.

POLICY & POLITICAL WATCH

The CHIPS Act is doing exactly what it was designed to do — Micron already got ~\$6B in federal grants for their Idaho and NY fabs, and the Trump administration's tariff regime on Chinese semiconductors (particularly the expanded Section 301 duties finalized this summer) directly handicaps their main competitor, YMTC/CXMT. The big political tailwind to watch: bipartisan chatter about a "CHIPS Act 2.0" focused specifically on memory/HBM domestic capacity — if that gets floated in Q4 budget talks, MU gets another leg up. Risk on the other side: any US-China trade thaw that eases export controls could let Chinese memory back into global markets and pressure pricing.

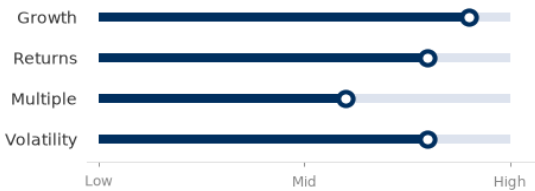
IS IT EXPENSIVE?

At ~\$976, MU trades around 68x trailing earnings but only ~15x forward earnings — meaning investors are paying \$15 today for every \$1 the company is expected to earn next year. That's actually cheap for a company growing revenue 40%+ with expanding margins, especially compared to Nvidia at ~35x forward. The catch: memory is cyclical, so the market is always pricing in the eventual downturn — but if this AI cycle is structurally different (which the 500% price data suggests), MU is meaningfully undervalued.

Key Data

Price (USD)	\$976.02
12M Price Target	\$1150.00
Upside / (Downside)	+17.8%
Market Cap	\$1.10T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.20
FY2027E EPS	\$19.50
Fwd P/E	68.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1080.00	\$1010.00	\$900.00
6 Months	\$1300.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1150.00	\$780.00
2 Years	\$1800.00	\$1350.00	\$700.00
5 Years	\$2500.00	\$1700.00	\$600.00
10 Years	\$4000.00	\$2200.00	\$500.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors broadly (+2.3% today) — the memory story is lifting the whole boat. AI infrastructure names are back in favor after a mid-September wobble, and the CHIPS Act money is still flowing.

COOLING OFF: Utilities and Real Estate lagging on a relative basis — money is rotating out of defensive/yield plays back into growth as rate cut expectations firm up for Q4.

ROTATION WATCH: Capital is rotating from software into hardware/silicon — the "picks and shovels" of AI. Investors are figuring out that the chip makers capture more of the AI economic pie than they initially thought.

RELATED PLAY: If you believe the memory story, look at the equipment makers who sell TO Micron — Lam Research (LRCX) and Applied Materials (AMAT) benefit from every new fab MU builds, with less earnings volatility.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Leading chip rebound today — their MI350 GPU ramp needs HBM, so they're a tell for memory demand
- INTC (Intel): +8% on the Ohio memory talks and CEO commentary — showing government-backed US chip capacity is being taken seriously by markets

MU CONTEXT: MU is participating but not leading today (+5% vs INTC +8%) — that's a bit surprising given MU is the direct beneficiary of the pricing comment. This tells me there's still room to run once analysts formally revise numbers ahead of the Sept 23 earnings print.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Fundamentals, policy tailwinds, and pricing data all align. Only holding back from 9 because the stock has run so hard already.

POSITION SIZE: 4-6% of portfolio — sized to matter if right, small enough to survive a 30% drawdown without panic-selling

ENTRY POINTS: I'd nibble here but save dry powder for pullbacks to \$920-940. If we get a market-wide risk-off day into earnings, that's your gift.

TIME HORIZON: 12-18 months — the memory cycle typically runs 6-8 quarters and we're maybe 3 quarters in. The catalyst I'm waiting for is Q1 2027 hyperscaler capex guidance in Feb.

WHEN TO BAIL: Bail if (1) earnings on Sept 23 miss or guidance disappoints, (2) any major customer cuts HBM orders, or (3) stock breaks below \$850 on high volume — that would signal the trend is broken.

HEDGING: Simplest hedge — buy \$850 strike puts expiring March 2027 as insurance. Costs maybe 3-4% of your position but caps your downside if memory rolls over unexpectedly. Or just size the position smaller and sleep better.